

I & M Holdings: HY'22 Earnings Note

I & M Holdings HY'22 EPS increased 15.98% y/y, on an adjusted basis following the bonus issue in 2021, to **KES 2.83** higher than our expectations. PAT increased 15.91% y/y to **KES 4.93Bn** driven by a 21.62% y/y increase in Total operating income to **KES 15.58Bn** supported by income from government papers. However, the gain in income was weighed down by a 19.27% y/y rise in Operating expenses to **KES 8.60Bn** on the back of increased provisioning. Customer deposits grew 13.16% to **KES 313.18Bn** while the loan book grew 13.02% to **KES 231.07Bn** leading to a flat Loan to deposit ratio at **73.78%**. We continue to see the effect of the yield curve steepening as the fair value loss from government securities, at KES 5.56Bn, compared to the FVOCI securities jumped to 10.16% higher than 0.33% in HY'21. At the current growth rate, we expect the lender to close FY'22 at a PAT of **KES 10.19Bn** being a **25.35%** y/y growth.

17th August 2022

Current price: KES 17.05

Target price: KES 23.53

Upside: 27.54%

Recomm: BUY

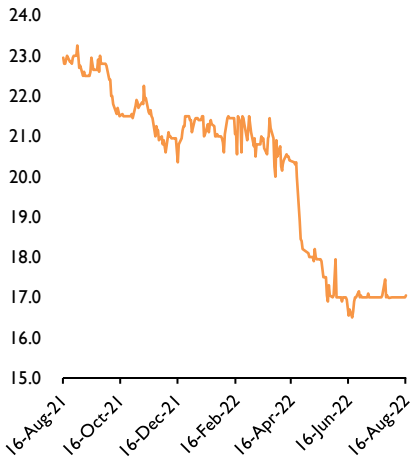
52 Week High: KES 23.25

52 Week Low: KES 16.50

YTD Performance: -19.19%

EPS (HY22): 2.83

IMH 1-Year Share Price Movement



- **Non-Funded Income Grew Faster Than Net Interest Income:** Net interest income growth of 18.68% to **KES 10.52Bn**, was in line with our expectations, mainly driven by income from government papers. Non-funded income grew faster at 28.25% to **KES 8.74Bn** leading the revenue mix to shift to 68:32 for NII:NFI from 69:31 in HY'21. Forex trading income shot up **147.71%** to **KES 1.91Bn** driven by the widening spreads in the bid/ask prices for the local currency after a reported dollar shortage and the Kenya shilling depreciation. Yield on assets increased 93bps y/y to 10.66% as income from government papers grew faster than lending income. Cost of funds increased 12bps y/y to 4.02% highlighting the increased cost of deposit mobilization. Subsequently, margins remained upbeat as Net interest margin (NIM) increased 17bps y/y to 6.33% .

- **Digital Channels Improved Efficiency:** The CTI ratio improved 127bps to 46.78% mainly on the back of focus on digital transaction channels. CTI improvement was driven by a slower growth in Total Opex (+19.27% y/y to **KES 8.60Bn**) compared to a 21.62% growth in Total Operating Income. Against the industry trend and improved asset quality, loan impairment provisions increased 24.36% y/y to **KES 1.31Bn** (+172.35% q/q) highlighting increased lending risk.

- **Loan Book Monitoring Boosts Asset Quality:** Gross NPLs grew 1.46% y/y to **KES 23.28Bn**. NPL ratio improved 112bps to **9.34%** from 10.46% in HY'21 below the industry average of 14.70%. Consequently, the NPL Coverage improved to **77.55%** from 65.42% in HY'21. We expect a better operating environment in H2'22 and the possible approval of risk-based models to improve the bank's asset quality in the coming quarters.

Our View and Outlook - The performance was mainly driven by an increase in Income from loans and government securities. However, we noted an increase in loan loss provisions even as the asset quality improved indicating existing lending risks particularly to sectors still lagging the pandemic recovery. Loan and deposits grew in tandem despite a higher interest expense, which highlights the increased cost of deposit mobilization. An improvement in efficiency is an indication of the payoff in investments in digital transaction channels. Improvements from the regional subsidiaries and income from non-banking activities are expected to boost future earnings growth. Current dollar shortage reported, and further depreciation of the local currency is likely to continue pushing the forex trading revenue upwards.

With no interim dividend, we do not see a near term share price rally. However, the counter remains a long-term value play. As such, we maintain our **BUY** recommendation with a conviction that the counter is currently undervalued with a Trailing PE of 3.44x below the market PE of 7.80x and P/TB of 0.48x lower than peer average P/TB of 0.77x.

Financial Statements Summary

Income Statement	FY18	FY19	FY20	H1'21	FY21	Q1'22	HY'22	y/y % Change
Net Interest Income	15,594.18	15,509.84	15,599.60	8,865.56	20,876.89	5,205.24	10,521.35	18.68%
Net non-Interest Income	7,597.34	8,285.54	8,637.75	3,943.80	8,735.62	2,195.29	5,057.84	28.25%
Total Operating income	**23,191.52**	**23,795.38**	**24,237.35**	**12,809.36**	**29,612.51**	**7,400.53**	**15,579.19**	**21.62%**
Provision for Impairment	(3,807.35)	(636.46)	(2,472.84)	(1,052.77)	(4,199.60)	(480.74)	(1,309.28)	24.36%
Total Operating expenses	(12,289.05)	(10,097.31)	(12,606.38)	(7,207.82)	(17,748.50)	(3,850.23)	(8,596.98)	19.27%
Profit before tax	**11,497.78**	**14,603.11**	**10,952.00**	**5,869.46**	**12,412.91**	**3,670.61**	**7,187.89**	**22.46%**
Profit after tax	**8,503.36**	**10,768.61**	**8,412.56**	**4,249.65**	**8,623.94**	**2,709.78**	**4,925.70**	**15.91%**
Adjusted Core EPS	10.28	6.51	4.88	2.57	4.92	1.55	2.83	10.16%
DPS	3.9	2.55	2.25	-	1.5	-	-	-

Balance Sheet	FY18	FY19	FY20	H1'21	FY21	Q1'22	HY'22	y/y % Change
Government Securities	52,156.60	53,924.27	89,841.88	89,935.93	109,166.98	108,562.11	106,367.31	18.27%
Loans and Advances	166,736.73	175,329.43	187,391.27	204,457.98	210,619.66	218,406.28	231,069.56	13.02%
Total Assets	288,522.05	315,290.67	358,099.79	382,036.43	415,180.68	430,830.80	439,665.18	15.08%
Customer Deposits	213,139.37	229,736.51	262,681.40	276,755.26	296,746.51	309,423.71	313,178.86	13.16%
Total Liabilities	237,647.60	254,428.50	290,036.65	311,951.08	341,132.60	355,587.05	368,214.65	18.04%
Shareholder's Funds	47,869.03	57,738.61	64,189.34	65,869.99	69,593.03	70,511.55	66,523.52	0.99%

Key Ratios	HY'21	HY'22	y/y % change
Yield from interest-earning assets	9.73%	10.66%	0.93%
Cost of funding	3.90%	4.02%	0.12%
Net Interest Margin	6.16%	6.33%	0.17%
Cost to Income Ratio	48.05%	46.78%	-1.27%
Non-Performing Loans (NPL)	10.46%	9.34%	-1.11%
Loan to Deposit Ratio	73.88%	73.78%	-0.09%
Return on average equity	12.29%	12.28%	0.00%
Liquidity Ratio	48.34%	48.81%	0.47%
Core Capital/TRWA	15.94%	15.06%	-0.88%
Total capital/TRWA	20.75%	19.83%	-0.92%

Source: Company Fillings, AIB-AXYS



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